7 Questions to Ask before Buying Credit Card Insurance

So your credit card company just called offering you balance protection insurance against job loss, disability, death, or critical illness. The cost will be just pennies, calculated monthly based on your outstanding balance.

Do you take it?

The question is: Have you performed an insurance-needs analysis, or will you just make the decision to take the insurance based on impulse and instinct?

There are typically three different types of credit card insurance:

Involuntary Job Loss: This pays your monthly minimum payment for a specified period of time after you lose your job through downsizing or layoffs.

Disability: Like above, your monthly minimum payment is covered for a specified time period upon becoming disabled and unable to work.

Life or AD&D (Accidental Death & Dismemberment): If you die, your entire credit card balance will be paid.

The cost may initially seem small at between $0.75 and $1.50 per $100 of outstanding credit card balance each month, but in the spirit of being frugal, is that money wisely spent?

Consider that with the exception of credit life protection, this insurance doesn't actually pay off your debt. It simply makes the minimum payments on your outstanding balance for the term of the contract. In fact, depending on the credit card and interest charges, you may sometimes find that the balance at the end of the contract is actually higher than when the claim occurred due to compounding interest.

Are those minimum payments something that would cripple you financially in the event of an illness or job loss? The answer will be different for everybody; this is just food for thought.

Similar to individual critical illness, disability, or life insurance policies, there are seven questions to consider before buying credit card Insurance.

1. What are the terms of the policy?

For example, what are the specific definitions under which the insurance company will pay?